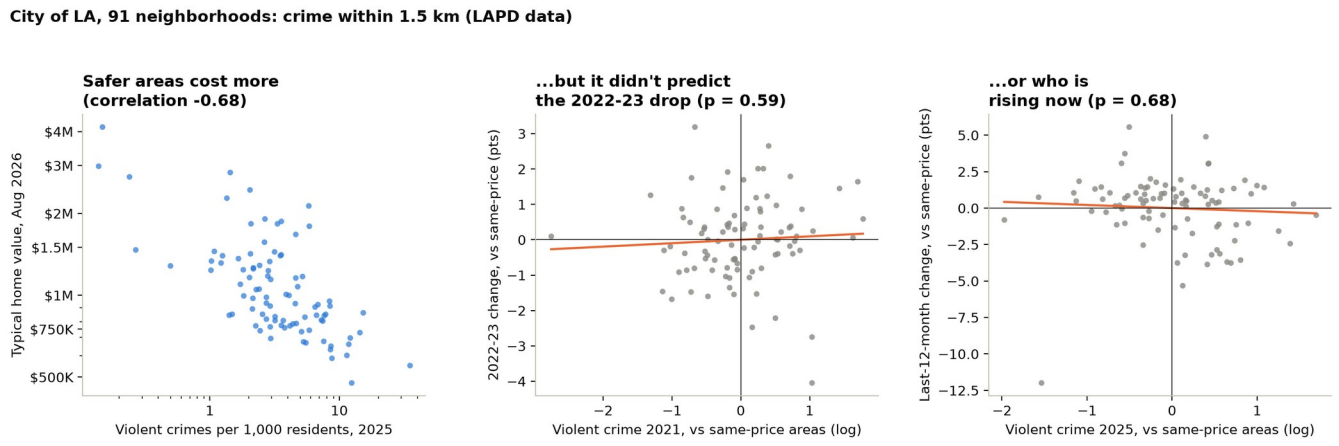
APPENDIX · ONLY IF ASKED ABOUT CRIME

Crime tracks price, but it didn't predict the 2022 drop or today's winners



WHY IT'S IN THE APPENDIX Crime data covers only the City of LA (91 of 496 neighborhoods), and it adds nothing to price prediction: at the same price level, p = 0.59 and 0.68. Price already carries it.

APPENDIX · ONLY IF ASKED ABOUT INCOME

Why income is not in our monthly ARIMAX

01 **Used in the ZIP-level panel**

Income enters the cross-sectional panel analysis across ZIP codes.

02 **Too slow for a monthly model**

IRS income is annual, starts in 2011 and is released with a lag, so it adds little month-to-month variation.

03 **No forecast gain**

Lagged income growth did not improve out-of-sample forecasts in the panel (RMSE 3.77 vs 3.79).

04 **So ARIMAX uses the mortgage rate**

The rate is the one outside driver that is monthly, timely and leads prices.